

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DNR

Date: 5/21/2026

Bill Number: SB200

Short Title (as it appears on BASIS): MUNI: SVC AREAS; FARM & AGRICULTURAL LAND

What action do you recommend the Governor take?

Select one.

☒ SIGN ☐ VETO ☐ LWOS

Action Justification – Why do you recommend the above action?

Please be specific.

This bill extends property tax deferment to farmers who file S Corporation tax documents. The current law only allows farmers to file Schedule F.

What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

This bill extends property tax deferments to farmers that file their farm income tax on S Corporation tax documents. The farmer must provide the local assessor with the same information that would be on schedule F.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments

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should include an analysis for sections of the bill affecting their agencies.

Section 1 – Amends AS 29.35.450(c) allows that second-class boroughs voter-approval requirements do not apply to abolishment or alteration of service areas created on or after July 1, 2026.

Section 2 - Amends AS 29.35.450(c) to require applicants to provide IRS Schedule F (Form 1040), to the local assessor. The equivalent information for S corporations, and copies of farm-use leases when applicable. These requirements do not apply to land classified or restricted by the state for agricultural use.

Section 3 -Amends AS 29.45.060(f) Farm-use classification does not apply when surface rights are under lease or option. Applicants without prior farm income may submit a declaration of intent but must file their Schedule F (or equivalent S corporation information) with the assessor by April 15 of the following year. Failure to file forfeits the exemption.

Section 4 - Amends AS 29.45.060(g) by addition flowers and livestock to section (g). It excludes marijuana production from the definition of farm use. “S corporation” refers to a sole proprietorship, partnership, or entities filing under 26 U.S.C. 1361–1379.

Section 5 – Provides an effective date of section one to take effect on July 1, 2026.

Section 6 – Provides and effective date of sections two through four to take effect on February 1, 2027.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

None

Support/Opposition of the Bill

Please identify names, organizations, titles, and phones numbers of those who testified in support or in opposition of this bill.

Farmers who file S Corporation income tax forms. No known opposition.

Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

No suggestions.

Commissioner’s Signature: _____



Date: 5/22/2026

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I have reviewed the above information and provided it to the Governor's Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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